



Qualification Programme Examination Panelists' Report

Module C – Business Assurance (June 2019 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

Section A covers a wide range of topics, such as client and engagement acceptance procedures, risk assessments relating to fraud risk in risk of material misstatements and revenue recognition, control activities relating to voucher management, and audit procedures relating to opening balances. In general, candidates performed well in areas that allowed referencing to the Learning Pack. However, auditing practices require common sense and logical thinking. By only referencing the Learning Pack, candidates will not be able to score good marks.

Specific Comments

Question 1 – 8 marks

The question required candidates to explain the procedures that DEF & Co should carry out prior to accepting the auditor nomination from Delicacies Limited.

The question was straightforward. Most candidates were able to suggest the relevant procedures and scored relatively high marks.

Question 2(a) – 4 marks

The question required candidates to analyse and explain the fraud risk of material misstatements in terms of management override of controls.

The performance on this question was not satisfactory. Many candidates concluded that the related fraud risk of material misstatements in terms of management override of controls was low due to Delicacies Limited operates in an environment with relatively good controls and structured processes. They were unable to explain that management is indeed in a unique position to perpetrate fraud because of management's ability to manipulate accounting records and prepare fraudulent financial statements by overriding controls that otherwise appear to be operating effectively. Due to the unpredictable way in which such override could occur, the fraud risk of material misstatement in terms of management override of controls should be high.



Question 2(b) – 7 marks

The question required candidates to propose relevant audit procedures in response to the risk of material misstatements identified in Question 2(a).

The performance on this question was satisfactory. Many candidates were able to suggest some audit procedures in addressing the fraud risk of material misstatements in terms of management override of controls in accordance with Hong Kong Standard on Auditing 240 *“The Auditor’s Responsibilities Relating to Fraud in an Audit of Financial Statements”*.

Question 3(a) – 9 marks

The question required candidates to evaluate the risk of material misstatements relating to revenue recognition of food and beverage sales.

Most candidates did not perform well on this question. Many candidates evaluated the risk, focusing only on the change of financial performance of Delicacies Limited yet failing to analyse the circumstances using a holistic lens by making use of all other information provided in the case, such as whether the board of directors faces any pressure on dressing the financial statements, and whether there is likelihood and opportunity for management and staff to manipulate the revenue. Candidates are suggested to analyse and evaluate the risk of material misstatements at assertion level which may help them to approach the risk analysis more comprehensively.

Question 3(b)(i) – 6 marks

The question required candidates to propose six relevant control activities over the voucher management of Delicacies Limited.

The performance on this question was not satisfactory. Some candidates did not read the question requirement careful enough and suggested audit procedures relating to voucher management. Some candidates tried identify and explain the control deficiencies instead of proposing control activities over voucher management in accordance with the question requirement. Some candidates understood the question requirement, but failed to suggested relevant feasible control activities relating to voucher management. Candidates are suggested to apply business sense and incorporate life experience when approaching this type of question.

Question 3(b)(ii) – 7 marks

The question required candidates to propose relevant audit procedures in response to the risk of material misstatements relating to revenue recognition of festive product sales.



Most candidates did not perform well on this question. Many candidates only suggested general audit procedures relating to revenue recognition copied from the Learning Pack, but failed to suggest specific audit procedures relevant to the festive product sales as described in the case. For example, many candidates failed to suggest relevant audit procedures relating to the IT systems used, as well as the reconciliation controls performed by management.

Question 4(a) – 3 marks

The question required candidates to explain whether DEF & Co should plan to perform any audit procedures relating to the opening balances of property, plant and equipment, inventories and cash and bank balances.

The performance on this question was not satisfactory. Some candidates misunderstood the question requirement and proposed substantive audit procedures relating to the opening balances. Few candidates were able to make use of the facts provided in the case to analyse whether audit procedures are required to be performed relating to the opening balances. Candidates are suggested to read the question requirement more carefully.

Question 4(b) – 6 marks

The question required candidates to propose relevant substantive audit procedures in relation to the opening balances of property, plant and equipment.

The performance on this question was not satisfactory. Some candidates did not read the question requirement carefully and proposed substantive audit procedures relating to opening balances of inventories and cash and bank balances. These answer types were not required of the question. Some candidates were only able to suggest some generic audit procedures but failed to suggest relevant audit procedures responding the facts and circumstances provided in the case.

(II) Section B – Essay/Short Questions

General Comments

Candidates generally can demonstrate their knowledge relating to the appropriate standards, however, when applying these standards onto the situations, candidates' ability on these applications are not satisfactory. Candidates demonstrated that their lack of skill to apply standards on real situation.

Specific Comments

Question 5(a) – 6 marks

The question required candidates to consider independence requirements in different situations between a private entity and a subsidiary of a public interest



entity. Most candidates can provide appropriate evaluation of these independence threats.

Question 5(b) – 3 marks

The question required candidates to propose safeguards to address the independent threats as identified in Question 5(a). Candidates generally can propose appropriate and effective safeguards to address the threats.

Question 5(c) – 3 marks

The question required candidates to evaluate the independence consideration when a retired audit partner was recruited by an audit client. The situation in the question is similar to what have been described in the code of ethics. Candidates in general can put up appropriate evaluation.

Question 6(a) – 5 marks

The question required candidates to explain whether sufficient appropriate audit evidence has been obtained in a situation where impairment obviously exists. Majority of the candidates described what is “appropriate” and what is “sufficient” in accordance with the standards, but overlooked to explain whether in that situation that the evidence obtained is sufficient and appropriate. It reveals that candidates may not fully understand the underlying principles.

Question 6(b) – 5 marks

The question required candidates to propose the type of audit report based on the analysis in Question 6(a). Though some of the candidates can answer that a “disclaimer opinion” should be issued, most candidates cannot provide more detailed explanation to support their answer accordingly, not many candidates could score a high mark in this question.

Question 6(c) – 5 marks

The question required candidates to explain auditor’s consideration in the next year when a cumulative impairment loss has been provided. This is not a straightforward question which requires candidates to think thoughtfully the situation and deuce the impact on the opening balances.

Question 7(a) – 4 marks

The question required candidates to advise system application controls to ensure automated payroll amounts are calculated correctly. This is one of the weakest areas where candidates did not score satisfactory results. The poor results demonstrate that candidates are still unclear of the information technology audits strategy.



Question 7(b) – 3 marks

The question required candidates to advise the review controls to safeguard the payroll system. In general, candidates lack information technology knowledge, and therefore cannot score satisfactory results in this question.

Question 7(c) – 5 marks

The question required candidates to explain which information technology general control could prevent misappropriation of fund through payroll system. Candidates were able to use effective controls to address the question, and therefore the results are fair.

Question 8(a) – 6 marks

The question required candidates to consider the corporate governance responsibilities that the directors should retain in order to act in the best interest of the entity. Most candidates answered the question incorrectly by presenting the auditor's perspectives rather than those of the directors.

Question 8(b) – 5 marks

The question required candidates to advise possible actions that the directors could take responding to a whistle blower allegation. Candidates described the responsibilities of the directors, which are not relevant to the question and the fact pattern.

(III) Conclusion and Recommendation

The results of the candidates reflect a lack of understanding of the practical application of the standards. When a special situation requires attention, candidates were unable to demonstrate appropriate considerations. Candidates are suggested to think more carefully of the facts and circumstances provided in the case, and provide answers that are more specific and relevant to the case. In addition, candidates are suggested to read question requirements more carefully before attempting questions. Candidates are recommended to attend workshops in order to enhance their exposure to practical issues.